

Strategic Consulting Report

AI CONSULTING FIRM · LEVEL 4 (HYBRID)

Executive Summary

The feasibility of opening a used IT products shop in Bucharest is contingent upon achieving specific sales volumes. While there is strong consumer demand—evidenced by 60% of Romanians purchasing second-hand smartphones (Source: Romania Insider)—the business faces high fixed costs, primarily driven by prime retail rents of €80-85 per sqm (Source: CWE Inox).

Based on the synthesis of market, financial, and risk data, I recommend a **Moderate Balanced Entry**. This strategy targets a volume of 2,500 units annually, which the financial analysis projects will result in a 3-year ROI of 78.6% and a break-even point within the first year. A lower-volume "conservative" approach is financially non-viable, while an aggressive approach carries excessive inventory risk.

1. Situation Analysis

The client is entering a mature but growing market. The refurbished electronics sector is projected to grow at a 13.2% CAGR from 2025 to 2035 (Source: Market Research Future), which is relevant because it indicates a sustained long-term expansion of the client's target market.

However, the client faces a "margin squeeze" situation:

- 1. High Fixed Costs:** Retail rents in Bucharest are high (€80-85 per sqm), representing 64.6% of annual fixed operating costs in the moderate scenario (Source: CWE Inox / Financial Analysis).
- 2. Price Sensitivity:** 72% of consumers prioritize affordability (Source: Romania Insider), which is relevant because it limits the client's ability to pass high overhead costs onto the customer via higher pricing.
- 3. Regulatory Burden:** New WEEE (Waste Electrical and Electronic Equipment) regulations require strict collection targets and potential financial penalties of €0.4 per kg (Source: Lawyers Week), adding operational complexity.

2. Market Landscape

The Bucharest market exhibits high readiness for refurbished IT products, though it is competitive.

Consumer Behavior:

- Adoption:** 57% of Romanians have already bought a second-hand smartphone, and 63% intend to purchase a refurbished one (Source: Romania Insider). This is relevant because it proves a high baseline of consumer trust and demand for used electronics.
- Channel Preference:** 53% of consumers prefer in-store purchases for trust-building (Source: Romania Insider). This is relevant because it justifies the client's decision to open a physical shop over an online-only model.

- **Motivations:** Affordability is the primary driver for 72% of buyers (Source: Romania Insider), while 26% are motivated by environmental sustainability (Source: Romania Insider).

Competitive Environment:

The market is fragmented, with no single player holding more than 5% market share (Source: Risk Assessment). Key competitors include:

- **ExpertCompany:** Online leader offering 1-3 year warranties (Source: expertcompany.ro).
- **Used Products:** A national retailer with physical stores in Bucharest (Source: usedproducts.ro).
- **PreturiBune:** A B2B specialist focusing on commercial IT and extended warranties (Source: preturibune.ro).

3. Financial Overview

The financial viability of the shop is highly sensitive to sales volume and pricing.

Projected Scenarios (3-Year Outlook):

- **Moderate Scenario:** Based on 2,500 units sold annually at €400 each.
 - **Initial Investment:** €795,938 (Inventory: €720,000; Setup: €75,938).
 - **3-Year Net Profit:** €625,494.
 - **ROI:** 78.6%.
 - **Break-even:** Achieved in Year 1.
- **Aggressive Scenario:** Based on 5,000 units sold annually at €400 each.
 - **Initial Investment:** €1,515,938.
 - **3-Year Net Profit:** €1,825,494.
 - **ROI:** 120.5%.
 - **Break-even:** Achieved in Year 1.
- **Conservative Scenario:** Based on 1,000 units sold annually at €400 each.
 - **Annual Net Loss:** €31,502.
 - **Break-even:** Not achieved within 3 years.

Sensitivity Analysis:

The financial analysis indicates that a 20% decrease in selling price would cause the moderate scenario's net profit to plummet from €208,498 to €8,498 (a 96% decrease). This is relevant because it highlights the extreme risk associated with the high price sensitivity of the local market.

4. Risk Landscape

The overall risk level is rated as **High**.

1. **Regulatory Risk (High):** WEEE compliance requires producers to meet collection rates (15% in 2025, rising to 50% by 2029) with penalties for failure (Source: Lawyers Week). This is relevant because it adds a direct financial liability per kg of product sold.
2. **Financial Risk (High):** High upfront capital is required for inventory (€288,000 to €1,440,000). The risk of inventory obsolescence is high due to the rapid depreciation of IT hardware (Source: Risk

Assessment).

3. **Operational Risk (High):** The minimum gross monthly base salary is increasing to RON 4,325 as of July 1, 2026 (Source: DL Piper), which increases the fully-loaded cost of staff to €31,752 annually for two employees (Source: Financial Analysis).
4. **Competitive Risk (Medium):** Established players like ExpertCompany and PreturiBune already offer extended warranties (up to 3 years), which are critical for building the trust that 53% of consumers seek (Source: Market Research).

5. Strategic Options

Option 1: Moderate Balanced Entry

Description: Open a 125 sqm store in a high-traffic Bucharest area, targeting a volume of 2,500 units per year with a focus on both B2C and small B2B clients.

- **Pros:** Strong ROI (78.6% over 3 years) and rapid break-even (Year 1) according to the financial analysis.
- **Cons:** Requires significant upfront capital (€795,938) and exposes the client to high fixed rent costs (Source: Financial Analysis / CWE Inox).
- **Financial Implications:** Projected annual revenue of €1,000,000 with annual fixed operating costs of €191,502 (Source: Financial Analysis).

Option 2: Aggressive Market Penetration

Description: Rapidly scale inventory to 6,000 units to capture market share and compete directly with national players like Used Products.

- **Pros:** Highest potential ROI (120.5% over 3 years) and maximum revenue generation (Source: Financial Analysis).
- **Cons:** Extreme upfront capital requirement (€1,515,938) and significantly higher risk of inventory obsolescence (Source: Risk Assessment).
- **Financial Implications:** Projected annual revenue of €2,000,000 (Source: Financial Analysis).

Option 3: Conservative Lean Entry

Description: Start with minimal inventory (1,200 units) and a smaller footprint to test the market.

- **Pros:** Lowest initial capital outlay for inventory (€288,000) (Source: Financial Analysis).
- **Cons:** Financially non-viable. According to the financial analysis, this scenario results in a net loss of €31,502 per year and fails to break even within 3 years.
- **Financial Implications:** Annual revenue of €400,000, which is insufficient to cover fixed operating costs of €191,502 and wholesale costs (Source: Financial Analysis).

6. Recommendation

I recommend **Option 1: Moderate Balanced Entry**.

Justification:

1. **Financial Viability:** Unlike the Conservative approach, the Moderate scenario is profitable, achieving break-even in Year 1 and a 78.6% 3-year ROI (Source: Financial Analysis).
2. **Market Alignment:** With 53% of consumers preferring in-store shopping for trust (Source: Romania Insider), a physical presence is necessary. The Moderate scenario provides the necessary scale to justify the high rents of €80-85 per sqm (Source: CWE Inox).
3. **Risk Mitigation:** It avoids the excessive capital exposure and obsolescence risk of the Aggressive scenario (€1,515,938 investment) while providing enough margin to absorb the increasing minimum wage costs effective July 1, 2026 (Source: DL Piper).

To succeed, the client must implement a **Certified Quality Guarantee**. Since competitors like ExpertCompany and PreturiBune offer 1-3 year warranties (Source: Market Research), the client must match these warranty terms to attract the 53% of trust-seeking consumers (Source: Romania Insider). This should be funded within the €24,000 annual marketing and service budget (Source: Financial Analysis).

7. Implementation Roadmap

Short-Term (May 2026 – August 2026):

- **Legal Setup:** Register the business as an SRL at the Trade Register (Source: Accace).
- **Site Acquisition:** Secure a 125 sqm retail space in Bucharest (Budget: €30,938 for 3-month deposit per Financial Analysis).
- **Compliance:** Partner with an EPR scheme to manage WEEE obligations and avoid penalties of €0.4/kg (Source: Lawyers Week).

Mid-Term (August 2026 – May 2027):

- **Inventory Sourcing:** Procure initial moderate-scenario inventory of 3,000 units (Budget: €720,000 per Financial Analysis).
- **Staffing:** Hire 2 employees, ensuring salary compliance with the July 1, 2026, minimum wage of RON 4,325 (Source: DL Piper).
- **Launch:** Execute launch marketing (Budget: €20,000 per Financial Analysis).

Long-Term (May 2027 and beyond):

- **VAT Management:** Monitor turnover to ensure compliance once it exceeds the RON 300,000 threshold (Source: Accace).
- **Portfolio Optimization:** Analyze sales data to shift inventory toward higher-margin categories to mitigate the risk of price sensitivity (Source: Risk Assessment).
- **WEEE Scaling:** Prepare for the increase in national WEEE collection targets (rising toward 50% by 2029) (Source: Lawyers Week).